

all-time high, though it isn't necessary. The S&P Industrials, a larger group than the Dow Industrials, have already surpassed their 1929 peak of valuation based upon book value, as shown at the bottom of Figure 10-4.

Bond/Stock Yield Ratio

Early October 1987 saw the highest stock market valuation relative to bond market valuation in U.S. history. Figure 10-5 reveals that in December 1949, near the end of Supercycle wave (IV) in the inflation-adjusted Dow, a dollar of stock yield "sold" for $\frac{37}{100}$ of the price of a dollar of bond yield. Stocks were cheap because investors

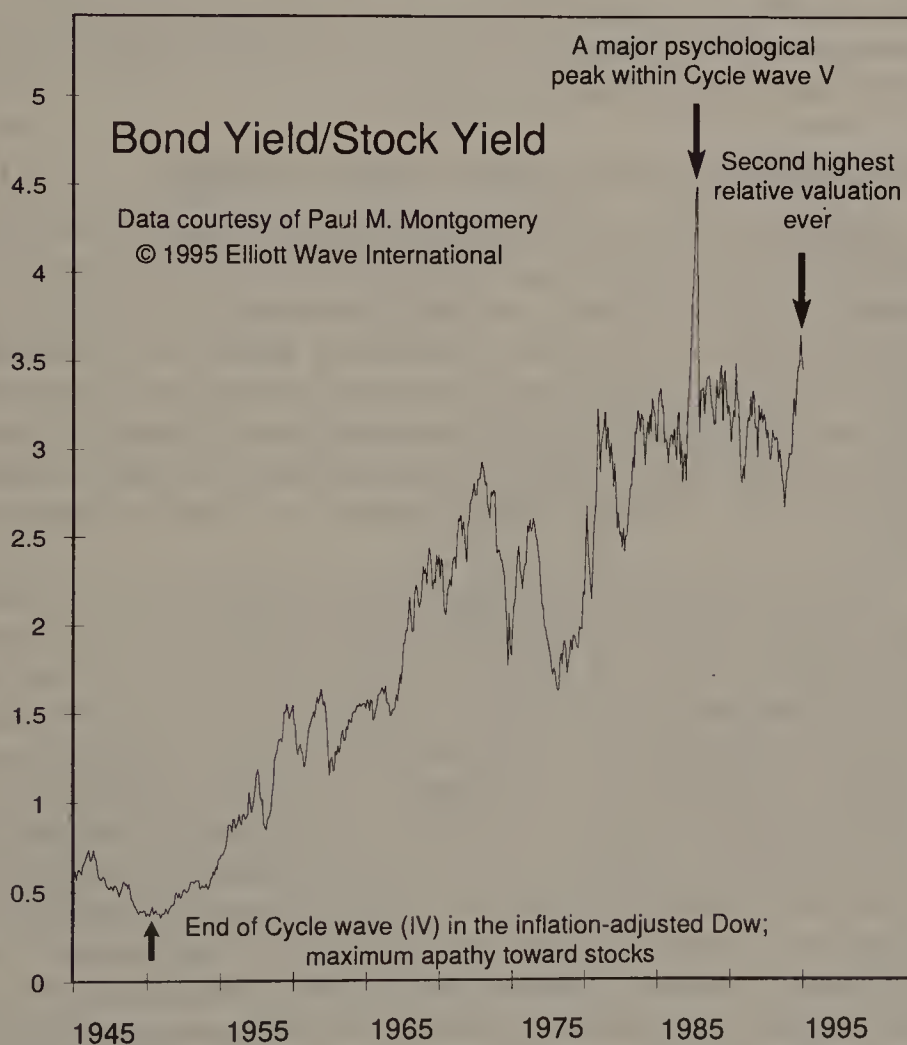


Figure 10-5